

■ By Kaveree Bamzai

When 61-year-old Steven Spielberg met 49-year-old Anil Ambani at the Four Seasons on New York's East 57th Street, the hour-long meeting stretched to three. The two got along famously and according to sources, talked about everything but the deal that is the buzz in Hollywood. Just as well. Because even as the Reliance Anil Dhirubhai Ambani Group (ADAG) puts forward \$500 million in equity, plus another \$700 million in debt financing organised by J.P. Morgan Chase to pick up a 50 per cent stake in a "new motion picture studio" to be formed with DreamWorks, it's clearly less an acquisition and more an alliance. In the bag for Reliance is perhaps the single most commercially successful director of all time with over \$4 billion in box-office revenue, which is worth more than just bragging rights. In the bag for the embattled DreamWorks is freedom from Viacom's dictatorial Sumner Redstone, a man who managed to put Tom Cruise in his place, and has long been questioning the \$50-million a year overhead Paramount pays to the studio. What is not clear is everything else, including which studio will now

A \$1.2-billion deal gives Reliance-ADAG financial control over the future of one of Hollywood's biggest independent studios and access to its brightest star, Steven Spielberg. But there's a lot else it doesn't get.

A DREAM TICKET

distribute future DreamWorks movies.

Reliance-ADAG, which has a market capitalisation of over \$50 billion, will be making 30 films over the next five years with DreamWorks, all of which will be greenlit by Spielberg. What Reliance-ADAG will not get is DreamWorks' phenomenally successful animation

division, run by former Disney exec Jeffrey Katzenberg, which is locked in a contract with Viacom subsidiary Paramount till 2012. What it will not get is the DreamWorks' library and the films currently under production at Paramount (including *The Soloist*, Peter Jackson's *The Lovely Bones* and

the *Transformers* sequel). What it will also not get, in all probability, is the over 200 films under development with Paramount. This is a potential gold mine, and includes Spielberg's pet project, *Lincoln*, based on Tony Kushner's adaptation of Doris Kearns Goodwin's biography, and the 3-D,

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